



Iberdrola

30/01/2025

Energy & Utilities Team



Agenda



1 Company Overview

2 Industry Overview

3 Investment Thesis

4 Valuation

5 Catalysts and Risks

6 Recommendation



Company Overview

Company Highlights

- **History:** Iberdrola was founded in 1992 following the merger of Hidroeléctrica Española and Iberduero. It is today one of the world's largest electric utilities and the largest in Europe by market capitalization, with operations in Spain, UK, US, Brazil and Mexico. The company has become a global leader in renewable energy, particularly wind power..
- **Recent milestones:** Reported €45.5Bn revenue and €15.7Bn EBITDA in FY2025. Net profit reached €6.28Bn in 2025 (+12% YoY) driven by regulated networks and renewables. Strategic plan includes €58Bn investment by 2028, primarily in electricity grids in the US and UK.
- **Valuation:** Iberdrola is Europe's largest utility by market capitalisation, trading at ~€130 billion on the Madrid Stock Exchange. FY2025 adjusted net profit reached €6.23 billion (+10.3%), with adjusted EBITDA of €15.68 billion. Total investments hit a record €14.46 billion, with 60% directed to the US and UK. Iberdrola guides to adjusted net profit above €6.6 billion in 2026, rising to €7.6 billion by 2028, underpinned by a €100bn+ investment plan through 2031.
- **Strategy:** Focus on regulated electricity networks and renewable generation. Accelerating electrification and energy transition through wind, solar, and grid infrastructure. Growth mainly driven by regulated asset base expansion.
- **Corporate Finance Transactions:** Sale of Mexican generation assets (~\$4.2Bn) to refocus capital on regulated networks (July 2025)
- **Ownership:** Chairman & CEO: Ignacio Sánchez Galán. Widely held public company listed on the Madrid Stock Exchange.

Key Metrics	Unit
Gross Margin	53%
ROIC	6-7%
Debt to Equity	95%
Cash ratio	0,8
ROA	4%
Pretax Margin	15-17%

Revenue Mix	%	Gross (\$mm)
Networks (regulated)	45%	
Renewables generation	35%	
Generation & supply	15%	
Other/Energy services	5%	

Valuation & Share Performance

Key Valuation Statistics

Enterprise Value	€177Bn	Revenue (FY25)	€44.1Bn
Market Cap	€130Bn	EBITDA (FY25)	€16.5Bn
P/E	24x	EBITDA Margin '25	37.4%
EV/EBITDA	11,9x	Debt / EV	32%
Cash	€7,9Bn	Total Debt	€57Bn

Share Price | Current: | High/Low:





Iberdrola Business Model

Operating Segments

Iberdrola generates revenues through electricity generation, transmission and distribution, and energy supply, with a strong focus on renewable energy and regulated electricity networks. The company operates across Europe, America, Australia, serving millions of customers and contributing to the global energy transition.

It has three main operating segments:

- **Networks:** This segment includes electricity transmission and distribution infrastructure. Revenues are largely regulated and stable, providing predictable cash flows. Iberdrola operates major networks in Spain, the UK (ScottishPower), the US (Avangrid) and Brazil.
- **Renewables:** Iberdrola is one of the global leaders in renewable energy, especially in onshore and offshore wind power, as well as solar and hydroelectric generation. This segment focuses on expanding clean energy capacity worldwide.
- **Generation&Supply:** This segment covers electricity generation from non-renewable sources and energy supply activities, including electricity and gas sales to residential and industrial customers

Key Figures

- Revenue for FY 2024: **15.1%**
- Net Adjusted Income for FY 2024: **€4.8 billion**
- Net Adjusted Income for Q3 2024: **€3.6 billion**
(growing 17% YoY)
- **42,000** employees worldwide
- Installed electricity capacity : **63GW**
- Renewable capacity: **42GW**
- Market cap : **€120-130 billion**

Competitors

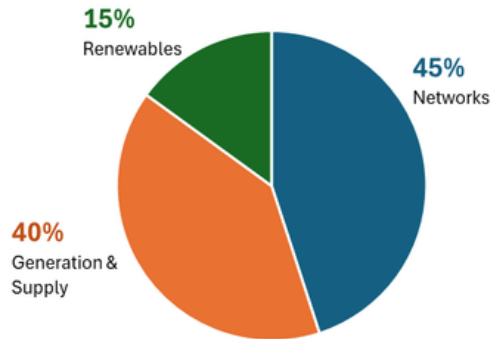




Operating Forecast

Revenue Drivers

Revenue & EBITDA Forecast



(in millions of €)	2022	2023	2024	2025	2026E	2027E	2028E
EBITDA	13228	14417	16848	16592	19213	21332	23685
Net Income	4339	4803	5612	6285	6573	7298	8103
Net Income Growth (%)		11%	17%	12%	5%	11%	11%
CAPEX	6788	7880	9875	11686	11214	12450	13823
EBITDA margin %	24,52%	29,22%	37,66%	36,43%	35,48%	35,19%	34,78%
Regulated asset base	38000	42000	49000	51000	56317	62188	68671
RAB growth (%)		11%	17%	4%	10%	10%	10%

Management revenues : Revenue and EBITDA growth are primarily driven by Iberdrola's increasing investments in regulated electricity networks and renewable energy capacity. The networks business represents the main growth engine, supported by the continuous expansion of the regulated asset base, which reached around €51 billion in 2025 and continues to grow steadily, with a plan to reach €70 billion by 2028.

The forecast assumes stable EBITDA margins, reflecting the resilience of regulated activities and long-term contracts in renewables, despite some volatility in the generation and supply segment due to energy price fluctuations.

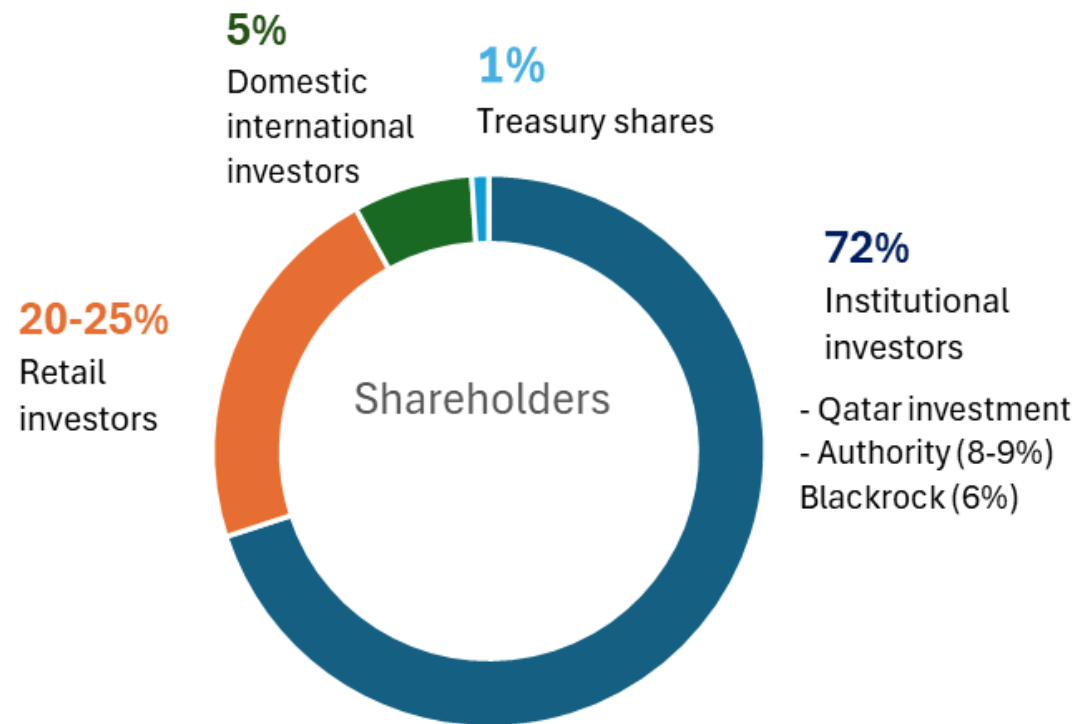
Capital expenditures remain high over the forecast period, exceeding €11–13 billion annually, as the company continues to invest heavily in grid infrastructure and energy transition projects. These investments directly support the growth of the regulated asset base, which is expected to increase at a steady pace of around 10% per year, in line with Iberdrola's strategic plan.



Shareholder Ownership Analysis

Ownership Analysis

Iberdrola's ownership structure is characterized by a highly diversified shareholder base (+500,000 shareholders around the world), with no single controlling shareholder. The company is primarily owned by institutional investors, including sovereign wealth funds, asset managers, and pension funds. This dispersed ownership structure enhances liquidity and market discipline, while allowing management to retain strategic flexibility. At the same time, the presence of large long-term institutional investors provides financial stability and support for long-term investments, particularly in capital-intensive renewable energy and grid infrastructure projects.



Iberdrola figures of 31/12/2025



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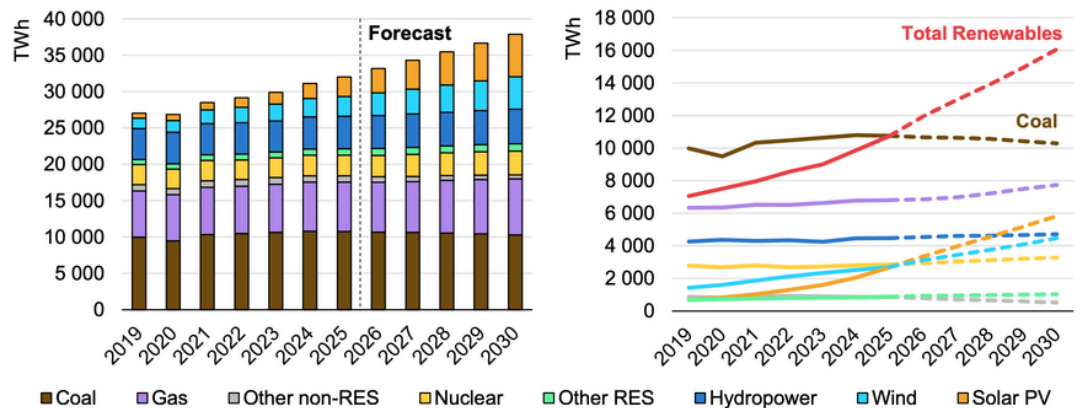
Industry Overview - Industry Scope and Main Trends

○ Industry Scope

Iberdrola operates across the integrated electricity value chain: Power Generation (renewables + hydro), Grid Networks (transmission & distribution) and Retail/Supply. Geographies (FY2025 adj. EBITDA, €15.7bn): Spain & Portugal (~38%), Brazil (~19%), UK (~21%), US (~17%), rest of EU & Australia (~5%).

○ Trends and Segments Analysis

Global electricity generation by source, 2019-2030



IEA. CC BY 4.0.

Notes: RES = renewable energy sources. 'Other non-RES' includes oil, waste and other non-renewable sources. 'Other RES' includes geothermal, bioenergy, concentrated solar power (CSP), and ocean energy. Data for 2026-2030 are forecast values.

International Energy Agency – Electricity Market Report / World Energy Outlook

Driven by the rapid expansion of solar and wind generation and the structural need for grid infrastructure to support electrification, the industry offers strong growth opportunities for players like Iberdrola that combine large renewable capacity with regulated network assets capable of capturing long-term value from the energy transition.

Segment	Iberdrola Capacity Assets	Global Market Outlook	Iberdrola Position
Onshore Wind	~20-21 GW installed (largest renewable asset base)	Strong growth but maturing market	Global leader / core cash-flow asset
Offshore Wind	~2.5 GW installed + large pipeline	Very strong growth (major expansion 2025-2030)	Strategic growth segment
Solar PV	~8-9 GW installed, rapidly expanding	Fastest growing power technology globally	High-growth challenger
Hydropower	~12-13 GW installed	Stable / limited growth globally	Legacy asset providing flexibility
Electricity Networks	Regulated grids across EU, UK, US (major RAB base)	Critical infrastructure for energy transition	Core profit engine (regulated returns)



Industry Overview - Regulatory Landscape by Geography

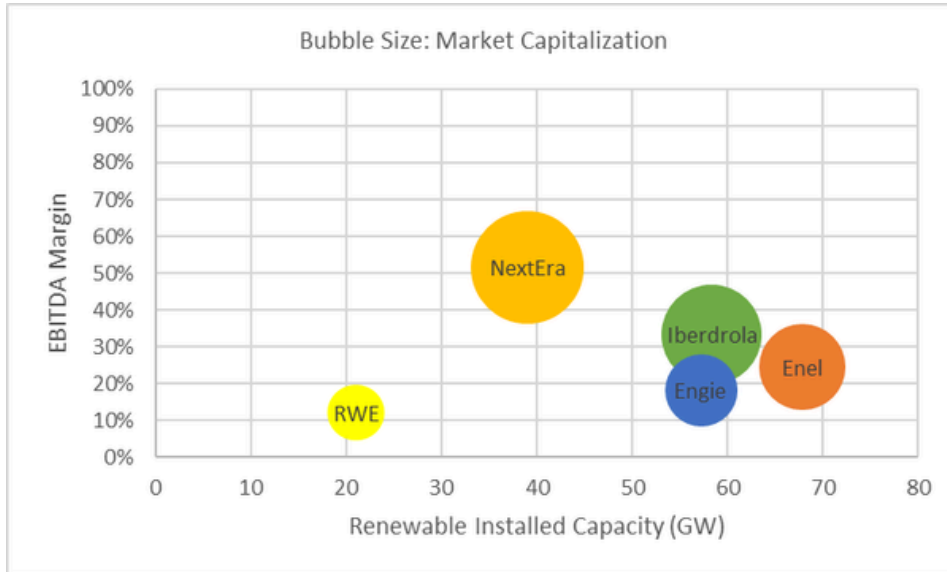
○ Regulatory Risks Valuation

Country / Subsidiary	Revenue Share*	RAB Iberdrola (FY2024)	Current regulatory framework	Upcoming changes & risks	Risk level
UK – ScottishPower / ENW	~21% (iberdrola.com)	~GBP 12.7bn pro-forma (~€15.4bn)	Regulated networks under Ofgem RIIO . Transmission moves into RIIO-3 / RIIO-ET3 (2026-2031) . (iberdrola.com)	Main change is the new RIIO-3 period; returns and allowed spending are now set for 2026-2031. Small risk from policy/indexation changes, but visibility is good. (iberdrola.com)	Low
US – Avangrid	~17% (iberdrola.com)	~USD 15.1bn (~€14.6bn)	Mostly state-by-state rate regulation for utilities, plus FERC for some transmission matters. Current earnings benefited from higher rates and recognition of regulatory assets. (iberdrola.com)	Several rate cases are ongoing or pending in New York, Maine and Connecticut; outcome and timing can move returns. FERC may also change the framework for connecting large loads to the grid. (iberdrola.com)	High
Spain – Iberdrola España / i-DE	~38% for Iberia (Spain + Portugal) (iberdrola.com)	€9.3bn	Electricity networks are paid under the CNMC remuneration model . Spain has already approved the 2026-2031 methodology and a 6.58% financial remuneration rate for transmission/distribution. (iberdrola.com)	Big uncertainty is lower than before because the new 2026-2031 framework is already approved. Main risks are political/regulatory changes in tariffs, taxes or allowed returns. (iberdrola.com)	Medium
Brazil – Neoenergia	~19% for LatAm (mostly Brazil) (iberdrola.com)	~BRL 61.4bn (~€9.8bn)	Regulated distribution and transmission under ANEEL . Neoenergia benefited from positive rate adjustments, and several distribution concessions were recommended for renewal. (iberdrola.com)	Good upside from 30+ year concession renewals and completed transmission lots, but risk stays higher because inflation, tariff resets and political/regulatory volatility can affect returns. (iberdrola.com)	Medium



Industry Overview - Competitive Landscape

Competitive Mapping



- **EBITDA Margin vs. Market Cap:** Strong positive correlation — NextEra's dominant bubble (~\$140bn market cap) at ~50% EBITDA margin confirms that profitability is the primary driver of market value in the sector; Iberdrola (~34% margin) and Enel (~28%) follow the same logic, while Engie's compressed margin (~18%) explains its relatively modest market cap despite comparable installed capacity.
- **Renewable Installed Capacity vs. Market Cap:** Capacity alone does not drive valuation — Enel leads on renewable GW (~70 GW) yet trails Iberdrola on market cap, while NextEra commands the largest bubble with only ~35 GW of renewable capacity; this confirms that investors price margin quality and earnings visibility over raw capacity, meaning Iberdrola's network-anchored, high-margin model is more value-accretive than a pure capacity expansion strategy.
- **Iberdrola's Positioning:** Iberdrola occupies the optimal quadrant — best-in-class EBITDA margin among European peers (~34%) with a market cap comfortably ahead of Enel and Engie despite lower installed capacity, validating the strategic pivot toward regulated networks; the remaining gap vs. NextEra reflects the US market premium and NextEra's superior margin profile, setting a clear benchmark for Iberdrola's upside potential as its UK/US RAB scales toward €70bn by 2028.

Comparable Company Analysis — Key Metrics

Ratios	Iberdrola	Enel	Engie	RWE	NextEra
EV/EBITDA (2026)	13.4	9.1	8.2	18.4	21.5
EV/RAB (Electricity - 2025)	3.6	3.5	N/A	N/A	N/A
Net Debt/EBITDA (2024)	4.0	3.3	2.5	1.2	6.2
EBITDA/Net Interest Expense (2024)	10.0	6.4	8.6	18.4	5.9
CFO/Net Debt	22%	22%	38%	98%	16%
ROCE	8%	10%	7%	1%	4%

- **EV/EBITDA** — Iberdrola (~11.7x) trades at a justified premium vs. Enel (~7.8x) and Engie (~7.5x), reflecting superior RAB growth visibility and network-anchored earnings.
- **EV/RAB** — At ~1.35x, Iberdrola is fairly valued within the regulated utility range (1.0–1.5x); discount vs. NextEra reflects US market premium.
- **Net Debt/EBITDA** — Elevated leverage (~3.4x) is structural to the investment cycle; BBB+ floor and 85% capex in A-rated countries mitigate downside risk.
- **ROCE** — Iberdrola (~8–9%) leads European peers, trailing only NextEra; improving trajectory driven by network expansion and new capacity additions.
- **EBITDA/Net Interest Expense** — Solid coverage (~9.7x FY2024) comfortably above peers' minimum threshold; structurally improving as EBITDA grows toward €18bn by 2028.

Peer Selection Rationale

No single large-cap utility perfectly replicates Iberdrola's unique combination of regulated networks, renewables generation and multi-continent diversification. The four selected peers represent the best available proxy set among listed large-cap utilities with material renewable exposure



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3 investment thesis

01

Regulated & Resilient Revenue Base

- 45% of revenues from stable, regulated electricity networks
- Regulated Asset Base (RAB) growing ~10%/yr, targeting €70bn by 2028
- Spain 2026–2031 framework locked at 6.58% financial remuneration rate
- BBB+ credit floor maintained; 85% of capex in A-rated countries

02

Global Renewables Leadership

- 42GW total renewable capacity — global leader in onshore wind (~20GW)
- Offshore wind pipeline accelerating strongly through 2025–2030
- Solar PV rapidly scaling: ~8–9GW installed, fastest-growing segment
- Best-in-class EBITDA margin ~34% vs European peers Enel ~28%, Engie ~18%

03

Compelling Growth & Capital Discipline

- €100bn+ investment plan through 2031; record €14.46bn capex in 2025
- Net profit guidance: >€6.6bn (2026E) rising to €7.6bn (2028E); ~11% CAGR
- 60%+ of capex allocated to high-return UK and US markets
- Sale of Mexican assets (~\$4.2bn) refocuses capital on regulated activities



Investment Thesis

Supporting Evidence

€70 bn

Regulated Asset Base 2028E
~10% annual growth / from €51 bn
in 2025

€7.6 bn

Net profit 2028E
vs €6.8 bn in 2025 / +12% YoY in FY
2025

~34%

EBITDA Margin
Best in class among European utility
peers

9,7x

EBITDA / Net interest
Solid Coverage - structurally
improving towards €18bn EBITDA by
2028

Pillar 1: Regulated networks visibility and stability

- Spain 2026–2031 framework already approved at 6.58% → earnings visibility locked in; large RAB uncertainty removed
- Brazil Neoenergia: 30+ year concession renewals + inflation-linked tariffs add long-term upside
- Net debt/EBITDA ~3.4x structural to investment cycle — mitigated by BBB+ floor

Pillar 2: Renewables, margin quality over raw capacity

- EV/EBITDA 11.9x trades at justified premium vs Enel (~7.8x) and Engie (~7.5x) — reflects superior margin quality
- Enel leads on GW (~70GW) yet trails Iberdrola on market cap → capacity alone does not drive valuation
- ROCE 8–9% leads European peers; improving as network expands and new capacity comes online
- Offshore wind 2025–2030 pipeline is the key strategic growth catalyst

Pillar 3: Growth execution & capital allocation

- ~11% CAGR with temporary volatility driven by power prices and investment cycle
- Sale of Mexican generation assets (~\$4.2bn, July 2025): disciplined reallocation to higher-return regulated markets
- EV/RAB ~1.35x — fairly valued within regulated utility range (1.0–1.5x); discount vs NextEra = upside benchmark



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Historical Share Price Analysis

Key Events & Share Price Drivers



1. **Mar 2020** – COVID-19 crash: stock dropped ~25% to €7.50, then rebounded as renewables emerged as post-pandemic winners.
2. **Nov 2020** – Launch of €75bn strategic plan (2020–2025), the largest investment program ever for a Spanish company, focused on renewables and networks.
3. **Sep 2022** – Spain introduced windfall tax on energy companies amid the energy crisis, costing Iberdrola ~€400–500M annually and creating regulatory uncertainty.
4. **2022–2023** – Interest rate hikes increased financing costs and reduced attractiveness of utility dividends vs. bonds, weighing on stock performance.
5. **Dec 2024** – Completed full takeover of US subsidiary Avangrid for \$2.55bn, delisting it from NYSE and unlocking \$30bn of US growth opportunities.
6. **Sep 2025** – Capital Markets Day unveiled €58bn strategic plan (2025–2028) with 30% capex increase; stock reached 14-year highs (~€19) on upgraded profit target of €7.6bn by 2028.



Broker estimates

Broker Estimates	Target Prices (\$)	Upside (%)	Rating
HSBC (19/02/2026)	€21.50	+14.5%	Buy
Oddo BHF (21/01/2025)	€22.20	+18.3%	Buy
UBS (08/01/2026)	€20.95	6,3%	Buy
Bank of America (09/03/2026)	€19.80	21,1%	Buy
JP Morgan (16/02/2026)	€17.20	-8.4%	Neutral
Overall average (28 analysts)	€18,5	-1,4%	8 hold, 5 overweight, 9 buy, 6 neutral



Comparables Analysis

Comparable Company Rationale

Iberdrola operates in the integrated utilities industry, and its main competitors are other large diversified energy companies, both on a European and global scale.

Key similarities: These firms manage large-scale energy infrastructure assets across generation, transmission and distribution networks, focusing on both regulated returns and renewable energy growth. All peers are navigating the energy transition by investing heavily in renewables and grid modernisation to meet decarbonisation targets.

Company	Country	Category	Enterprise Value (€bn)	EBITDA (€bn)	RAB (€bn)	EV/EBITDA	P/E	EV/RAB	Dividend Yield (%)	P/BV
Iberdrola	Spain	Integrated	139,3	17	51	8,2	13,1	2,7	4,5	1,6
Enel	Italy	Integrated	158	22,9	47	6,9	12,6	3,4	6,8	1,4
Engie	France	Integrated	115	17,2	35	6,7	14	3,3	5	1,1
RWE	Germany	Gen/Renewables	40	5	N/A	8,0	15,9	N/A	2,5	1
NextEra Energy	USA	Integrated	282	16	85	17,6	27,5	3,3	2,5	2,9
Ørsted	Denmark	Pure Renewables	32	3,5	N/A	9,1	20,8	N/A	3,2	1,3
EDP	Portugal	Integrated	38	4,9	7,5	7,8	13	5,1	4,5	1,4
SSE	UK	Integrated	38	2,9	18	13,1	26	2,1	4,8	1,8
National Grid	UK	Pure Networks	130	10	63	13,0	21,4	2,1	4,2	1,7
Acciona Energía	Spain	Pure Renewables	13	1,8	N/A	7,2	18,8	N/A	2	1,5

Summary Statistics (Excluding Iberdrola)

Metric	EV/EBITDA	P/E	EV/RAB	Dividend Yield (%)	P/BV
Mean	9,8	18,31	3,1	4	1,57
Median	8,1	17,35	3,3	4,35	1,45
Min	6,7	12,6	2,1	2	1
Max	17,6	27,5	5,1	6,8	2,9

Implied Valuation for Iberdrola

Methodology	Metric Used	Implied EV (€bn)	Implied Equity Value (€bn)	Implied Share Price
EV/EBITDA (Median)	8,10	137,65	123,75	€18,31
P/E (Median)	17,35	N/A	104,1	€15,40
EV/RAB (Median)	3,3	167,57	153,67	€22,74



DCF Model Output

WACC Assumptions

Cost of Debt
4.47%

We used a blended figure between Iberdrola's latest largest bond issuance pricing and third-party consensus

Risk Free Rate
3.92%

This is a blended figure from the main regions Iberdrola is active in. We didn't take into account Brazil which is skewed by cyclical factors.

Cost of Equity
7.33%

We added a weighted equity risk premium by regions of 5.35%

Weight of debt
41.16%

WACC
5.68%

$$\begin{aligned} \text{WACC} &= (1 - \text{weight of debt} * \text{Cost of Equity} + \text{weight of debt} * \text{Cost of Debt} * (1 - \text{Tax Rate})) \\ &= (1 - 41.16\%) * 7.33\% + 41.16\% * 4.47\% * (1 - 25\%) \\ &= 5.68\% \end{aligned}$$



DCF Model Output

Terminal Value – Perpetuity Growth Method

Number of outstanding shares 6757845603

Calculate the FCF

Perpetuity growth rate
WACC

2%
5,68%

Discounted value 145004,3
Implied share price 21,46

Year	2022	2023	2024	2025	2026	2027	2028	2029	2030
EBIT	7983,9	8973,1	9729	9891	11472	12527	13678	14736	15876
growth%		12,39%	8,42%	1,67%	15,99%	9,19%	9,19%	7,74%	7,74%
Financial result	-1837,5	-2186,6	-1575	-1863	-1866	-1866	-1866	-1866	-1866
Tax amount	-1161,3	-1610	-2150	-1621	-2402	-2665	-2953	-3218	-3503
Tax rate	18,89%	23,72%	26,37%	20,19%	25,00%	25,00%	25,00%	25,00%	25,00%
D&A	-5244,1	-5444,3	-5619	-5793	-5991	-6196	-6407	-6538	-6672
CapEx	-10730	-11382	-11697	-14460	-15134	-16525	-18043	-16567	-13254
Non-cash working capital (inc)	-1136	-371	-1118	-984	-1142	-1247	-1361	-1466	-1580
FCF	2126	1278	2204	211	603	313	-16	2489	6905
RAB	39200	42200	45500	51000	55687	60805	66392	71529	77063
EBIT as % of RAB	20,37%	21,26%	21,38%	19,39%	20,60%	20,60%	20,60%	20,60%	20,60%
RAB growth%		7,65%	7,82%	12,09%	9,19%	9,19%	9,19%	7,74%	7,74%
D&A as % of RAB	13,38%	12,90%	12,35%	11,36%	10,76%	10,19%	9,65%	9,14%	8,66%
growth%		-3,56%	-4,28%	-8,02%	-5,29%	-5,29%	-5,29%	-5,29%	-5,29%
CAPEX as % of EBIT	134,40%	126,85%	120,23%	146,19%	131,92%	131,92%	131,92%	112,43%	83,48%
Changes in WC as % of EBIT	14,23%	4,13%	11,49%	9,95%	9,95%	9,95%	9,95%	9,95%	9,95%

Spain statutory tax rate

Post normalization capex

Terminal value
191173,3

2023-2024 organic growth RAB average

Implied Share
Price from DCF

21.46€

Premium to
current Share
Price

12.3%

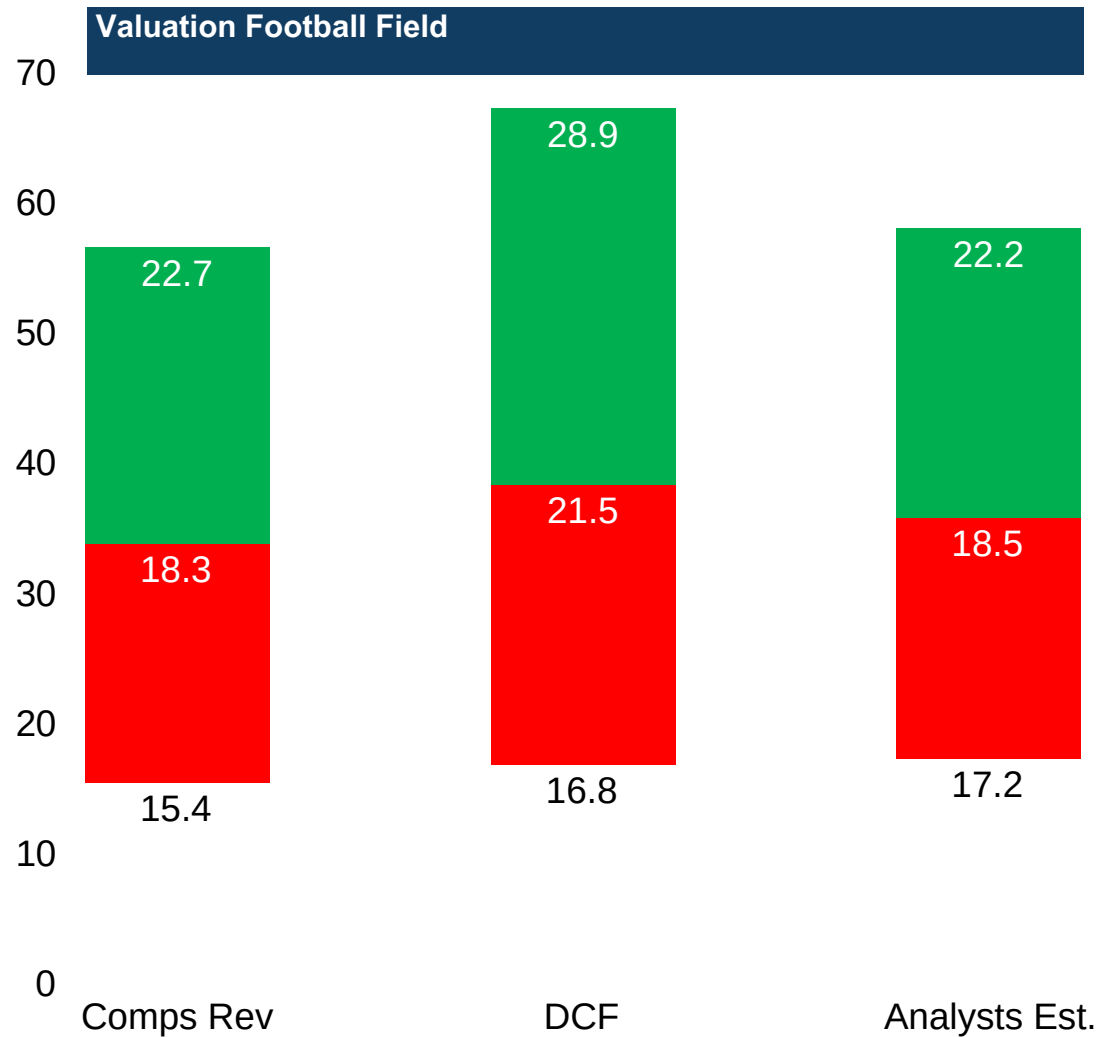
Sensitivity Analysis

Current price 19,08

WACC / Growth						
Shareprice	21,46	1,50%	1,75%	2,00%	2,25%	2,50%
5,30%	21,08	22,62	24,39	26,46	28,89	
5,50%	19,84	21,21	22,78	24,60	26,71	
5,70%	18,71	19,95	21,35	22,95	24,80	
5,90%	17,70	18,81	20,06	21,49	23,13	
6,10%	16,77	17,77	18,91	20,18	21,64	



Valuation Summary





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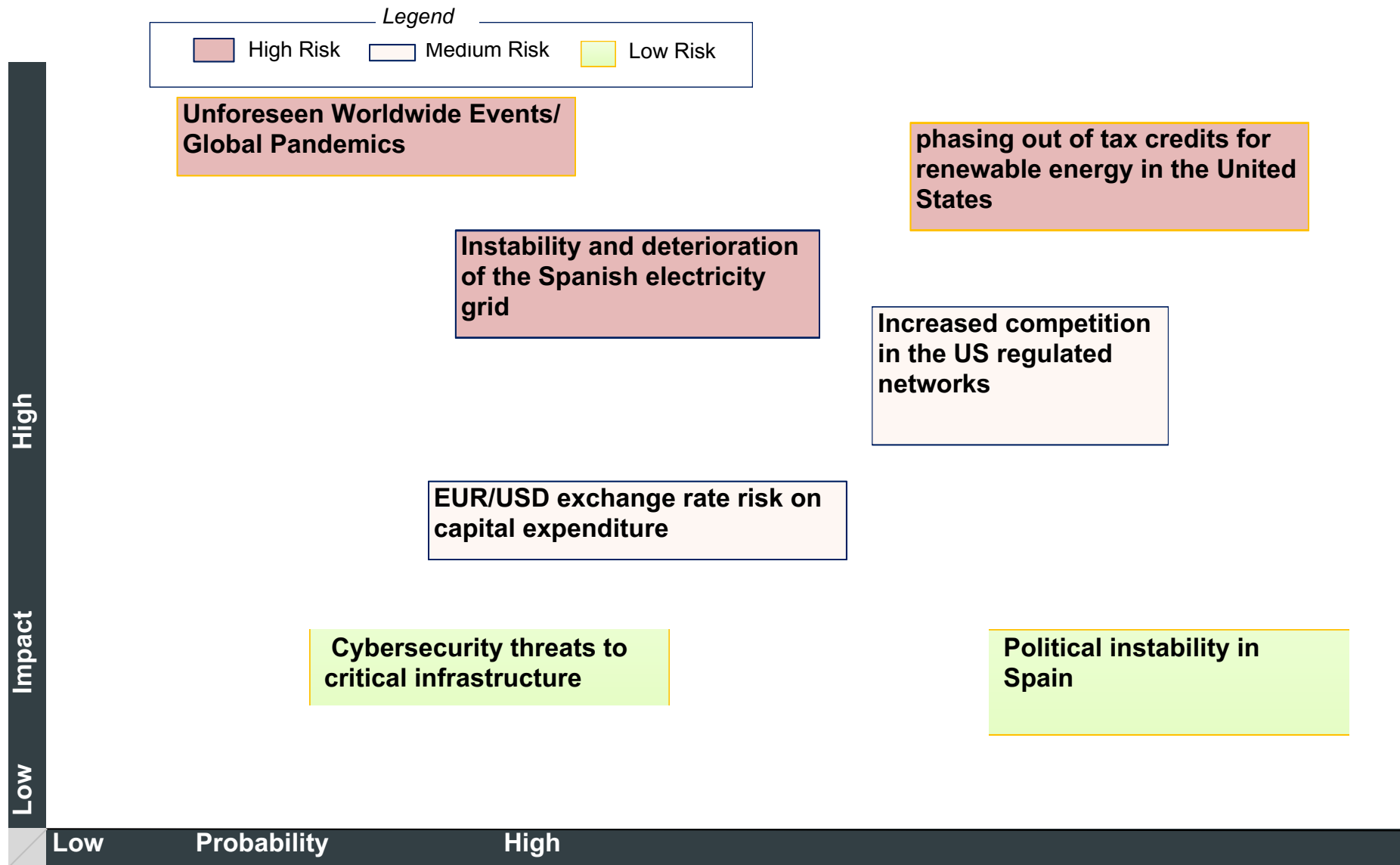
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Risk Considerations





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Price Target & Recommendation

Price Target		
Valuation Summary		
Analysis	Price	Weight
Current price	19.08€	40%
Brokers	18.5€	20%
Comparables	18.31€	20%
DCF	21.46€	20%
Target Price	19.27€	100%

We believe that under 19€, Amundi is a low-risk play and therefore a buy for our core portfolio.

Although the target price is rather close to the current price, we believe Iberdrola is a strong candidate for future solid growth.

We put a stop loss at 18.5€.